

Diagram 3.2

Stages	Input	Output	Returns to Scale
a to b	100% ↑	200% ↑	Increasing
b to c	100% ↑	100% ↑	Constant
c to d	100% ↑	33.33% ↑	Decreasing

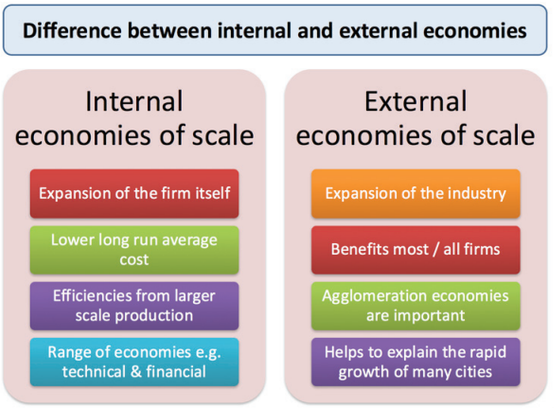
increasing returns to scale. Because, between these two points input has doubled, but output has tripled.

The law of constant returns to scale is implied by the movement from the point ***b*** to point ***c***. Because, between these two points inputs have doubled and output also has doubled.

Decreasing returns to scale are denoted by the movement from the point **c** to point **d** since doubling the factors from 4 units to 8 units produce less than the increase in inputs, that is, by only 33.33%

3.6 Economies of Scale

'Scale of Production' refers to the ratio of factors of production. This ratio can change because of availability of factors. The Scale of Production is an important factor affecting the cost of production. Every producer wishes to reduce the costs of production. Hence he (he includes she as well) uses an advantage of economy of scale. This economy of scale is effected both



by the internal and external factors of the firm. Accordingly, Economies are broadly divided into two types by Marshall.

1. Internal Economies and
2. External Economies

Economies of scale reduces the cost of production: and, diseconomies of scale increases the cost of production.

3.6.1 Internal Economies of Scale

‹The term Internal Economies of Scale› refers to the advantages enjoyed by the production unit which causes a reduction in the cost of production of the commodity. For example, a firm enjoying the advantage of an application of most modern machinery, generation of internal capital, an improvement in managerial skill etc. are sure to reduce the cost of production. They are of various types:

- ***Technical Economies*:** When the size of the firm is large, large amount of capital can be used. There is a possibility to introduce up-to-date technologies; this improves productivity of the firm. Here research and development strategies can be applied easily.

Chapter-03.indd 62 20-02-2020 11:48:10